

Rail Systems Ltd (TRSL), Alstom, Bombardier and Siemens—all are eyeing sizeable manufacturing orders in the next few years.

The Vande Bharat brand, experts say, could be a ₹2-lakh crore manufacturing opportunity by 2030. What helps is the fact that Vande Bharat trains will have new variants. While the trains started out as chair cars, trials for a sleeper coach are on. Then there's the Vande metro that would cover distances under 200 km, while there are also plans of a bullet train version that could touch speeds of 250 kmph—but railway tracks need to be upgraded before that happens; more on that later.

THE PLAN

Today, Vande Bharat has established itself as a brand, and the Indian Railways aims to take it across categories, replacing its existing Rajdhani trains, which have an average speed of 80 kmph. Such trains will have a top speed of 160 kmph, cutting down travel time, and tickets will be priced at a premium of 15-20% over other trains on the same route. According to a senior railway official who declined to be named, Vande Bharat is a premium product and provides a semi-high speed experience to passengers who are ready to pay for the services. "People don't mind paying extra for a faster service with better amenities and we have seen passengers shift from Shatabdi trains to Vande Bharat on some metro routes," says the official.

During this year's Interim Budget, Finance Minister Nirmala Sitharaman had said that 40,000 rail coaches will be converted to Vande Bharat standards to elevate safety, convenience, and comfort, while also providing a boost to private sector railway manufacturers through refurbishment contracts. As of now, the government has rolled out tenders to manufacture about 6,600 Vande Bharat coaches, and a similar addition is expected over the next five years.

Keeping in mind the government's 2030 target, Amit Anwani, Lead Equity Analyst at brokerage firm Prabhudas Lilladher, says that while tenders to make 412 Vande Bharat trains at a total cost of ₹92,735 crore

THE ORDER BOOK

● Contracts for 412 Vande Bharat trains have been tendered so far at a cost of around ₹92,735 crore

● Contracts are placed under various categories like sleeper, metro, chair car

Manufacturer	Train sets	Contract value (₹ cr)	Type	Year awarded
Medha Servo Drives	44	2,210	Steel chair car	2021
Medha, Bombardier, Siemens, BHEL, Titagarh, Sain	58	1,850	Steel chair car	2022
RVNL-Transmashholding (Russia)	120	34,800	Steel sleeper	2023
BHEL-Titagarh Rail Systems	80	23,200	Steel sleeper	2023
Alstom	100	30,000	Aluminium sleeper	2023
BEML	10	675	Steel sleeper	2023
Total	412	92,735		

NOTE DATA AS OF MARCH 2024 **SOURCE** PRABHUDAS LILLADHER

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"With the induction of more Vande Bharat and semi-high-speed trains, the demand for forged wheels will further rise, making domestic manufacturing capacity essential"

PRITHISH CHOWDHARY
DEPUTY MANAGING DIRECTOR, TITAGARH
RAIL SYSTEMS

have been rolled out, "the remaining opportunity size is worth over ₹1 lakh crore".

And it is popular among passengers. The current chair car version of Vande Bharat has recorded more than 95% occupancy on some routes. But travellers have also flagged some issues such as non-reclining seats, which have been mitigated in the second version of the train, say experts.

The third version will consist of air-conditioned